User Guide - ClearBooks Tax Estimates

How to set up automatic tax estimates

Applies to: ClearBooks · Mobile app (iOS and Android) · Web app

Audience: Sole traders and small business owners in the UK

Reading time: Approximately 5 minutes

Overview

ClearBooks calculates your tax estimate automatically every time you receive a payment. Once you set up your tax profile, the app sets money aside in a dedicated Tax Pot so you are never caught off guard at the end of the tax year.

This guide walks you through setting up your tax profile, enabling automatic estimates, and verifying that your Tax Pot is working correctly.

Before you begin

Make sure you have the following before you start:

- A ClearBooks account
- **Unique Taxpayer Reference (UTR) number**
- **National Insurance (NI) number**
- A rough idea of your annual income (an estimate is fine at this stage)

> **Note:** If you do not have your UTR number yet, you can still complete the first two procedures. You will need to return and add your UTR before ClearBooks can file anything with HMRC on your behalf.

Complete your tax profile

Your tax profile tells ClearBooks who you are as a taxpayer. You only need to do this once.

1. Open the ClearBooks app on your device.
2. Tap Profile at the bottom of the screen.
3. Tap Tax settings.
4. Enter your UTR number in the field provided.
5. Enter your National Insurance number.
6. Under Self-assessment status, select one of the following:
    - **Sole trader** (you run your own business and are not registered as a limited company)
    - **Freelancer / contractor** (you work for multiple clients without a fixed employer)
    - **Landlord** (you earn rental income)

Figure 1: Tax settings screen

7. Tap **Save tax profile**.

A confirmation message appears: "Your tax profile has been saved."

Set your income type

ClearBooks needs to know how you earn money so it can apply the correct tax rules.

1. On the **Tax settings** screen, tap **Income sources**.
2. Select all income types that apply to you:
    - **Self-employment income** (money earned from your own business or freelance work)
    - **Employment income** (salary from a PAYE job, if you have one alongside your self-employment)

    - **Rental income** (money earned from letting property)
    - **Other income** (dividends, savings interest, or other sources)
3. Tap **Confirm income sources**.

> **Tip:** Most sole traders select only Self-employment income. If you are unsure, select that option and update it later. ClearBooks recalculates your estimates automatically when you make changes.

Enable automatic tax estimates

---

1. On the **Tax settings** screen, scroll down to **Automatic estimates**.
2. Toggle **Enable automatic tax estimates** to on. The toggle turns green when active.

Figure 2: Automatic estimates toggle in the active (green) state

3. In the **Tax year** field, confirm the current tax year is selected (for example, 2025–2026).
4. Under **Estimate frequency**, select how often you want ClearBooks to update your estimate:
    - **Every transaction** (updates in real time each time money moves in or out; recommended)
    - **Daily** (updates once per day)
    - **Weekly** (updates every Monday)
5. Tap **Save**.

Set up your Tax Pot

Your Tax Pot is a ring-fenced portion of your account balance that ClearBooks sets aside automatically for tax. It is not a separate bank account. It is a visual indicator that helps you avoid spending money you will owe to HMRC.

1. On the **Tax settings** screen, tap **Tax Pot**.
2. Toggle **Enable Tax Pot** to on.
3. In the **Set-aside percentage** field, enter the percentage of each income payment that ClearBooks should move to your Tax Pot.

Use the following as a starting point for your set-aside percentage.

Approximate annual income	Suggested set-aside
Under £12,570	0%
£12,571 to £50,270	25–30%
£50,271 to £125,140	35–40%
Over £125,140	45%

4. Tap **Save Tax Pot settings**.

Note: These percentages are a guide only. ClearBooks adjusts your actual liability as your real income changes through the year. Consult an accountant if you are unsure which percentage to use.

Verify your setup

Once you have completed the previous four procedures, verify that automatic estimates are working correctly.

1. Go to the **Dashboard** (tap the home icon at the bottom of the screen).
2. Locate the **Tax estimate** card. It displays your estimated tax liability for the current tax year.
3. Check that the **Tax Pot** balance is visible below the estimate.

4. Make a small test transaction to confirm real-time updates are working:
    - Tap **Add transaction** and enter a small income amount (for example, £10.00).
    - Return to the Dashboard.
    - Confirm that the Tax estimate and Tax Pot have updated.
    - Delete the test transaction when done.

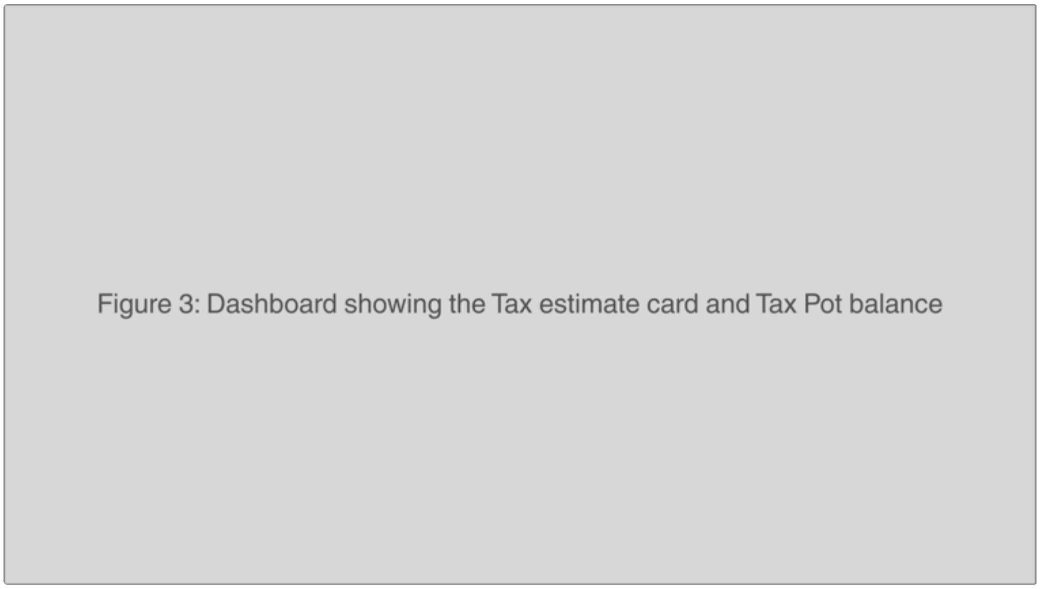

Figure 3: Dashboard showing the Tax estimate card and Tax Pot balance

> **Note:** Your setup is complete when the Tax estimate card shows a figure and the Tax Pot balance is greater than zero. If you have not yet received a payment, both will show zero until your first transaction is recorded.

What happens next

After setup, ClearBooks updates your tax estimate automatically based on your actual income and outgoings. You do not need to do anything until one of the following events occurs:

- **Your income type changes.** Update your income sources in Tax settings.
- **The new tax year begins.** ClearBooks resets your estimate on 6 April each year and carries your profile forward automatically.
- **You need to file a Self Assessment return.** ClearBooks will prompt you with a reminder 90, 30, and 7 days before the 31 January filing deadline.

Troubleshooting

The Tax estimate card is not appearing on my Dashboard.
Make sure you have toggled **Enable automatic tax estimates** to on. If the toggle is on and the card is still not visible, close and reopen the app.

My Tax Pot balance is not updating after a transaction.
Check that your **Estimate frequency** is set to **Every transaction**. If it is set to Daily or Weekly, the balance updates on the next scheduled refresh.

I cannot save my tax profile. The Save button is greyed out.
All required fields must be completed before you can save. Make sure your UTR number and NI number are entered correctly. UTR numbers are 10 digits. NI numbers follow the format: two letters, six numbers, one letter (for example, AB123456C).

Related articles

- How to categorise a transaction manually
- How to share your account with your accountant
- Understanding your Tax Pot: frequently asked questions